

Hungary: Magyar confronts asset recovery and growth tests

送信者: EG Europe 受信日時: 2026-09-04 01:39

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Hungary

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After early wins, Magyar faces asset recovery and growth tests

3 Sep 2026 12:38 EDT [Discover more on the Portal](#)

Short-term trajectory:

Long-term trajectory:

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Hungary has met the EU's Recovery and Resilience Facility milestones, likely unlocking €10 billion, pending European Commission confirmation by the end of September.

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Prime Minister Peter Magyar used his first 100 days to accelerate an anticorruption and institutional clean-up but faces protracted court battles to recover state assets diverted during Viktor Orban's rule in the near term.

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Though inflation is easing, Hungary's economic recovery faces tightening constraints from drought and energy shocks, stretched public finances, and weakening German demand.

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Magyar concluded his first 100 days in a strong position. Magyar and his Tisza-led government pressed ahead through the summer to fulfill their election promises. These efforts focused on restoring economic stability and dismantling a complex network of personal appointments, companies, foundations, and government-linked NGOs established by Orban's government to channel funding into favored projects and exert influence at home and abroad.

Meanwhile, Magyar and leading ministers successfully managed a crisis when record-low water levels on the Danube threatened to shut down the Paks 1 nuclear power plant, which supplies 40% of the country's annual electricity needs.

Magyar will continue to benefit from these early successes, but asset recovery will take years. Since his inauguration in May, Magyar's government has drafted and enacted legally contentious legislation to remove Orban loyalists such as President Tamas Sulyok, the former chief prosecutor, and the President of the Constitutional Court. Despite initial vociferous opposition from the much-reduced Fidesz

parliamentary group (with Orban largely absent from the fray), these moves were achieved with minimal public protest or legal challenge. Sulyok even signed the law bringing about his own removal in mid-July.

These moves have formed the foundation to examine, prosecute (where necessary), and recover assets (where possible) linked to the long list of questionable Fidesz-era projects. These include the high-profile Mathias Corvinus Collegium—which allegedly received more than €355 million in public funding in 2020 alone—and other projects backed by the central bank under former governor Gyorgy Matolcsy, who allegedly moved about €1 billion into various foundations.

Overall, according to lower estimates, 30 trillion forints (approximately €82 billion) in public assets may have been illegally transferred into private hands over the past two decades. Recovery of one-third of this amount would constitute a success. Orban's core Fidesz allies will have used every available legal tool to protect their gains. Anna Unger, head of the newly created institution tasked with asset recovery has warned the courts could take up to six years to return illicitly transferred assets.

Hungary's modest economic recovery faces growing headwinds. Industrial production has shown modest growth. The economy grew by 1.7% in the first half and has gained traction, but the government's stretched fiscal position, the economic fallout from drought and the energy crisis, and weakening demand in Germany will likely limit momentum.

The Finance Ministry has adjusted the 2026 budget deficit target to 7.5% of GDP, stressing that without cost-cutting measures, including cuts to ministers' salaries, it would have soared to 8.3%. The government will establish a 500 billion forints (€1.4 billion) emergency fund to offset the effects of the drought and energy crisis, a sum likely absorbed by losses in the agricultural sector alone.

Industrial production rose by 2.4% in the first six months, with expanding EV battery production providing some support, but the outlook remains vulnerable to uncertainty in the EU and especially Germany. The German-Hungarian Chamber of Commerce warned in late August that legal certainty, a consistent regulatory environment, and an independent judiciary would be as important to investors as tax incentives. The Chamber's comments suggest concern that some of the previous government's practices may continue under Magyar's government.

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